

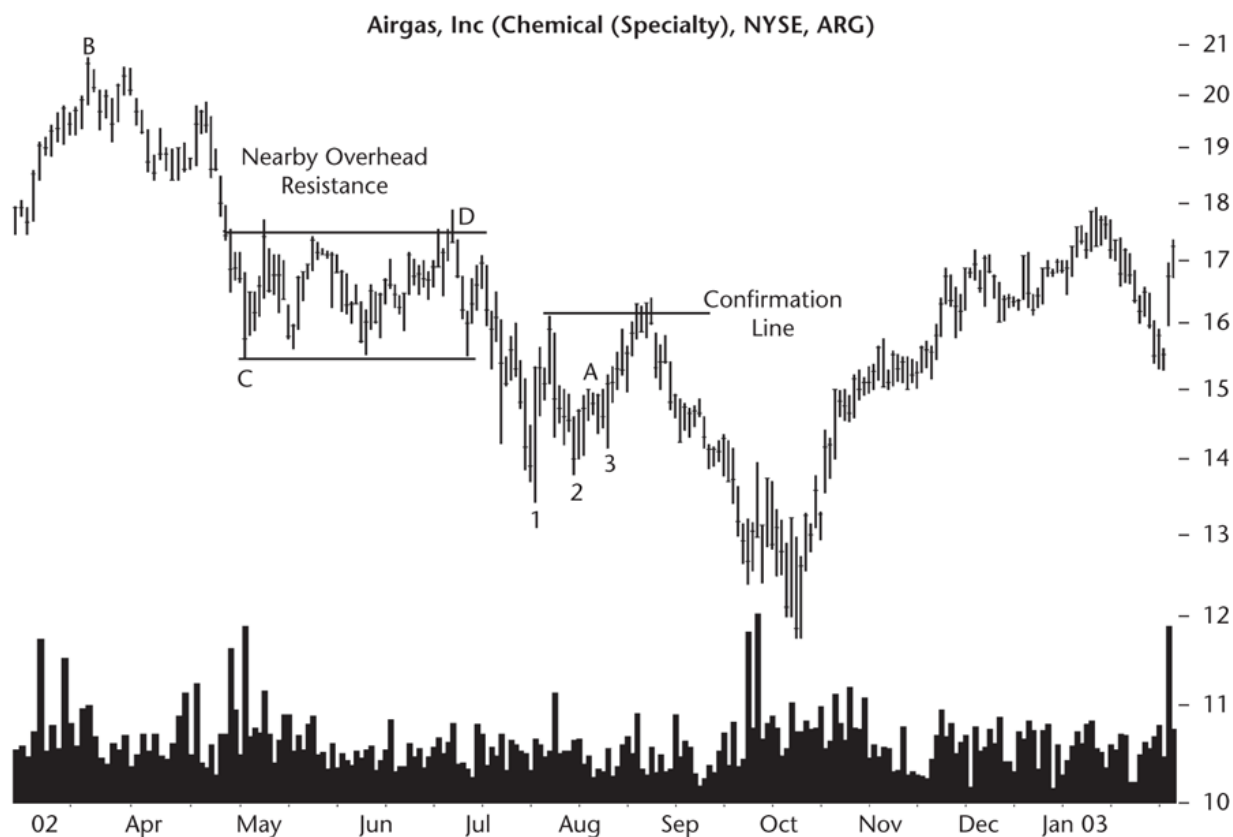


Figure 63.3 Three rising valleys appear in a downward price trend. Price confirms the pattern when it closes above the highest high.

Table 63.1 Identification Guidelines

Characteristic	Discussion
Appearance	Look for three valleys; each one must be above the prior one and look similar.
Price trend	Look for three minor lows in a row, usually found in an uptrend.
Proportion	Each valley should look similar to the last one. If you begin with wide, rounded valleys, select only similar-looking ones.
Breakout direction, confirmation	The breakout is upward by definition. Price breaks out when the stock closes above the highest peak in the chart pattern. An upward breakout confirms the pattern as valid.